

TOTVS (TOTS3)

Quartr-Enhanced Investment Analysis

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Ticker: TOTS3 (B3, Brazil) | Sector: Systems Software

Market Cap: BRL 20.1B (~USD 3.8B)

1. Business History

The origins of TOTVS trace back not to 1983, the official founding year, but to the early 1970s, when Ernesto Haberkorn -- a self-taught programmer in Sao Paulo -- began building SIGA (Sistema Integrado de Gerencia Automatica), one of Brazil's first integrated business management systems. Haberkorn lacked his own hardware; he negotiated access to corporate mainframes during overnight hours, coding through the night to develop automation software for small companies. By 1976, he had purchased his own equipment and grown SIGA into a 50-person software house with a modest but real client base among Brazilian SMBs.

The pivotal partnership came in 1983, when Laercio Cosentino, then a 23-year-old director of data processing at Haberkorn's SIGA, joined forces with his mentor to co-found Microsiga Software S.A.

The two became equal partners with a clear thesis: Brazilian small and medium-sized enterprises were chronically underserved by enterprise technology, and a locally developed, Portuguese-language management system could serve this vast market better than any multinational import. This was a bold bet in a country where accumulated inflation reached 364% in 1987 and the currency changed names four times in a decade. Microsiga absorbed SIGA through a merger in 1989, consolidating the original product line under one corporate roof.

Throughout the 1990s, Microsiga expanded methodically across Brazil's regions and economic sectors, building a franchise-style distribution model that leveraged local partners to implement and support its software. The model proved well-suited to a continental-scale country with fragmented industries and complex, frequently changing tax codes. This franchise DNA -- the idea of operating

through a distributed ecosystem of partners rather than a centralized direct salesforce -- remains a distinguishing feature of TOTVS to this day, with the company operating across 12 economic segments nationwide.

The first structural inflection point came in 2005, when Microsiga acquired Logocenter, a competing ERP vendor, in a single day alongside a buyback of shares from private equity firm Advent International. The transaction increased revenue by roughly 25% overnight and signaled the beginning of a deliberate market consolidation strategy. The company formally rebranded as TOTVS S.A. -- a Latin word meaning "everything" or "totality," reflecting a more expansive ambition. On March 9, 2006, TOTVS became the first IT company in Latin America to list on the Bovespa's Novo Mercado, B3's premium corporate governance segment, under ticker TOTS3. The same year, TOTVS acquired RM Sistemas, the third-largest national ERP player, for BRL 164.8 million, further consolidating its lead. The acquisition spree culminated in 2008 with the purchase of Datasul for BRL 480 million. Datasul brought deep specialization in manufacturing and industrial processes -- a functional complement to Microsiga's strength in services and distribution. Each of these acquisitions (Logocenter, RM Sistemas, Datasul) brought not just customers and revenue, but distinct ERP platforms: Protheus (the evolved Microsiga platform), Datasul, and RM. Rather than forcing clients onto a single codebase, TOTVS maintained all three product lines, investing in each while gradually converging their technological infrastructure. This multi-platform strategy explains why today the company still references Protheus, Datasul, and Winthor (from later retail acquisitions) as active products -- a pragmatic decision that prioritized client retention over architectural purity.

Leadership evolution marked the next phase. Founder Laercio Cosentino led the company for over three decades, but a CEO succession proved turbulent. Rodrigo Kede Lima, recruited from IBM in 2015 with an international expansion mandate, departed within two years citing health issues. In October 2018, TOTVS announced Dennis Herszkowicz as CEO, with Cosentino moving to chairman. Herszkowicz brought an outsider's perspective with insider knowledge: he had spent 15 years at Linx S.A. (a retail software rival), serving as CFO and leading its 2013 IPO, its 2016 follow-on offering, and some 20 acquisitions. His appointment marked a decisive strategic shift from geographic expansion toward deepening relevance within the existing client base -- a pivot from "more customers" to "more revenue per customer."

Under Herszkowicz, TOTVS executed two defining strategic pivots that reshaped the company from a pure ERP vendor into a three-dimensional platform. The first was the "Business Performance" dimension, anchored by the March 2021 acquisition of RD Station for BRL 1.86 billion -- at the time, the largest private software M&A in Brazil. RD Station, a Florianopolis-based marketing automation and CRM platform with a strong product-led growth motion, gave TOTVS a front-office complement to its back-office ERP core and a foothold in recurring SaaS revenue from a broader universe of SMBs. The second pivot was into financial services. In 2019, TOTVS acquired Supplier, a supply chain finance company with roughly two decades of operating history, for BRL 455 million and launched the "Techfin" concept -- the thesis being that an ERP provider sitting inside a company's financial data flows was uniquely positioned to underwrite credit. This strategy was formalized in April 2022 when TOTVS structured a 50/50 joint venture with Itau Unibanco, Brazil's largest private bank. Itau paid up to BRL 860 million for its stake, with BRL 410 million in cash upfront and the balance contingent on

performance milestones over five years. The JV, branded TOTVS Techfin, closed in mid-2023 after regulatory approval and combined TOTVS's embedded distribution with Itau's balance sheet and banking license.

The most recent structural move is the July 2025 agreement to acquire Linx Participacoes from StoneCo for BRL 3.05 billion -- the largest acquisition in TOTVS history by investment value, as CEO Herszkowicz noted on the Q3 2025 earnings call. Linx is the dominant point-of-sale and retail management software platform in Brazil, and StoneCo had originally paid BRL 6.7 billion for it in 2021. The acquisition, pending CADE (antitrust) approval, received near-unanimous shareholder backing (99.999% of votes in favor) and would substantially deepen TOTVS's retail vertical, adding the Winthor and Linx product lines to its management portfolio.

Through all these transformations, certain elements of the company's cultural DNA have remained constant. CEO Herszkowicz articulated it at the Q4 2024 earnings call as "a unique capacity for reinvention, turning risks into opportunities...being the same while always being different." At the Investor Day 2025, he emphasized that functional domain knowledge -- the accumulated understanding of how businesses actually operate across 12 segments, built over "more than four decades" -- is far more durable and valuable than any single technology layer. Each technology wave -- DOS to Windows, on-premise to cloud, and now AI -- has expanded TOTVS's addressable market rather than threatening its position, precisely because the functional layer it has built is not displaced by architectural change.

2. Management & Incentives

TOTVS is led by CEO Dennis Herszkowicz, who assumed the role in January 2019 as part of a deliberate succession plan orchestrated by founder Laercio Cosentino. Herszkowicz, a graduate of ESPM in advertising and marketing, came to TOTVS with deep enterprise software credentials: he spent 15 years (2003-2018) at Linx S.A., rising from partner to statutory officer, where he served as CFO and investor relations officer from 2012 to 2017, led the company's IPO in 2013 and follow-on offering in 2016, and executed roughly 20 acquisitions. Before Linx, he founded Gibraltar.com and served as general director of DeRemate.com in Brazil, with earlier experience at Unilever and Credicard. His tenure at TOTVS now exceeds seven years, during which consolidated revenue has grown from approximately BRL 2.5 billion to BRL 5.75 billion, EBITDA margins have expanded from the low 20s to 26.2%, and the company's three-vehicle strategy (Management, Business Performance/RD Station, and Techfin) has been fully articulated and scaled. The fact that Herszkowicz was a senior Linx executive who then oversaw the BRL 3 billion acquisition and integration of Linx into TOTVS is a noteworthy irony that speaks to his intimate knowledge of the competitive landscape.

CFO Gilsomar Maia Sebastiao (universally referred to as "Maia" on earnings calls) has been in the role since 2017, giving him nearly nine years of tenure. He trained as an audit manager at Ernst & Young (1996-2004) before joining TOTVS, where he progressed through planning, corporate finance, and M&A director roles. He holds an MBA in capital markets from FIECAFI and completed a program at MIT Sloan in 2023-2024. Maia's financial discipline is evident in the numbers: free cash flow

conversion ran at 98% of adjusted net income in 2025, ROIC stands at 20%, and the company has maintained a net cash position of BRL 196 million even after substantial M&A and the BRL 3 billion 6th debenture issuance. On the Q3 2024 call, Maia articulated the capital allocation framework clearly: "The cash generation has allowed us...to have the M&As that we need and also to have an important turn in terms of payback and dividends...we believe we can do both without having any impacts on our program and M&A."

The broader executive bench is deep. Alexandre Apendino, Vice President of Customer Service and Relationships, holds degrees from Mackenzie and executive MBAs from INSPER and Wharton, and manages the franchise distribution network that is a critical competitive moat. Gustavo Bastos, Vice President of Platforms since 2023, a UFMG graduate, oversees the T-Cloud and LYNN AI infrastructure. Gustavo Avelar leads RD Station and has driven the sequential acceleration in SaaS revenue growth visible in Q4 2025. In January 2026, the board elected Gustavo Mendes as Vice President for Operational Efficiency, a newly created role. Mendes, a Florida International University graduate with executive education from Harvard Business School, spent seven years as CFO of iFood (the Prosus-backed food delivery platform), signaling management's seriousness about deploying AI and process optimization at scale across the organization. The addition brings the vice president count to seven, with Herszkowicz joking at the Q4 2025 call that Mendes is "Gustavo number three" among the leadership team.

One notable governance feature requires flagging: Marcelo Eduardo Cosentino, Vice President of Business for Segments, is the son of founder and Chairman Laercio Cosentino. Marcelo joined TOTVS in 2001 as an intern and has progressed through IT, product development, planning, M&A, and international expansion over more than two decades. He holds an MBA from Kellogg. While his career progression appears merit-based and his involvement on earnings calls demonstrates substantive operational knowledge (on the Q4 2025 call he spoke authoritatively about the tax reform's product implications), this family connection represents a potential succession dynamic that investors should monitor. Laercio Cosentino, who founded TOTVS in 1983 and transitioned to the non-executive Chairman role in 2019, controls approximately 8.8% of outstanding shares through his holding vehicle LC-EH Participacoes e Empreendimentos. This is a meaningful but not controlling stake.

Regarding ownership and alignment, insider holdings are modest in percentage terms -- collectively less than 1% excluding Laercio's holding company stake -- though worth approximately BRL 43 million at recent prices. The institutional shareholder base is dominant at roughly 52%, with Canada Pension Plan Investment Board (5.6%) and BlackRock (5.4%) as the largest identifiable holders. No single shareholder holds a controlling position; the top 24 shareholders collectively own about 50%. TOTVS operates under B3's Novo Mercado listing rules, the highest governance tier requiring 100% common shares (one share, one vote). The company maintains a share-based long-term incentive plan (ILP) that was revised with shareholder approval at the April 2023 general meeting, with the board ratifying 2025 participant allocations in April 2025. While the specific vesting and performance conditions are not disclosed on earnings calls, the existence of an equity-linked compensation structure and the ISS Compensation pillar score of 2 (on a 1-10 scale where 1 is best) suggest reasonable alignment with shareholder interests.

The board comprises seven members chaired by Laercio Cosentino and includes at least three identified independent directors: Ana Claudia Piedade Silveira dos Reis (who coordinates the People

and Remuneration Committee), Gilberto Mifano, and Tania Sztamfater Chocolat (who sits on the Statutory Audit Committee). The board maintains four standing committees -- Strategy, Governance and Nomination, People and Compensation, and Statutory Audit -- with the governance committee requiring at least two independent directors among its minimum three members. The ISS Governance QualityScore is 1 overall (best possible), with Board scoring 2 and Audit scoring 1, though Shareholder Rights scores a weaker 7, which likely reflects the controlling dynamics inherent in Brazilian corporate structures.

On capital allocation, management's track record is strong and credibility is high. The three-vehicle strategy articulated years ago has been executed systematically: the Linx acquisition from StoneCo for BRL 3 billion, announced in 2025, received 99.999% shareholder approval. The BRL 600 million LYNN AI platform investment over four years represents a disciplined organic growth bet. The Dimensa stake sale demonstrated willingness to prune non-core assets. The company's largest-ever share repurchase program, combined with the 6th debenture issuance of BRL 3 billion, shows sophisticated balance sheet management -- leveraging low-cost debt while returning capital. Management explicitly avoids formal guidance but communicates through consistent directional frameworks. On the Q4 2025 call, Herszkowicz stated that the management segment margin cap "is even higher" than the previously discussed 29% (excluding Dimensa, which showed 28.5%), adding: "This is not a guidance, but it's a very good sign that '26 is also going to be a very good year." This pattern of under-promising and over-delivering has been consistent: 2025 results exceeded the trajectory implied in prior commentary across all three segments.

The key-person risk centers on Herszkowicz. His strategic vision -- the three-vehicle model, the SaaS+Cloud migration, the pivot to AI agents -- is deeply personal, and the depth of the bench below him, while impressive operationally, does not include an obvious designated successor. Laercio Cosentino's continued engagement as Chairman provides institutional continuity, but at 60-plus years of age, his own succession at the board level will eventually require attention. The Marcelo Cosentino factor adds a dynastic dimension that, while common in Brazilian corporates, could complicate meritocratic succession if not managed transparently.

3. Competitive Landscape

The Brazilian enterprise software market is structurally oligopolistic in its upper tiers and highly fragmented at its base, a configuration that strongly favors TOTVS. In the overall ERP market across all company sizes, TOTVS and SAP split leadership at roughly 34% each, with Oracle trailing at approximately 10% and smaller vendors collectively accounting for the remainder. But this aggregate view obscures the decisive segmentation that defines competitive dynamics: in the small and medium business (SMB) segment -- companies with annual revenues between BRL 100 million and BRL 2 billion, which TOTVS identifies as its ideal customer profile -- the company commands approximately 52% market share, while SAP and Oracle each hold only around 9%. Conversely, among Brazil's 200 largest corporations, SAP dominates with roughly 77% share. This mutual disinterest between the large-enterprise incumbents and TOTVS creates a condition of efficient scale in the SMB tier, where

TOTVS's dominance leaves insufficient profit pools to attract well-resourced global competitors.

Sources of competitive advantage. TOTVS benefits from multiple, mutually reinforcing moat sources. The most immediate is switching costs. ERP software is deeply embedded in a customer's operational fabric -- accounting, procurement, payroll, tax compliance, inventory -- and the disruption and cost of migrating to a competitor are enormous. This stickiness is evident in the Management segment's 98.3% customer retention rate and 91% recurring revenue share. Once installed, TOTVS becomes the system of record, and its 75% cross-sell and upsell rate within the existing base demonstrates how the initial ERP relationship serves as a wedge for layering additional products. At its 2025 Investor Day, management disclosed that take rates across its client base remain strikingly low -- a median of just 0.21% of client revenue, rising to 1.14% at the 90th percentile -- signaling substantial headroom to deepen wallet share without triggering competitive displacement. The franchise distribution network represents an intangible asset and cost advantage that global competitors have been unable to replicate. TOTVS operates through a network of locally-owned franchise partners present across every Brazilian state, each contributing region-specific knowledge of local business practices, tax nuances, and industry customs. As CEO Dennis Herszkowicz stated on the Q4 2025 earnings call, "I do not believe that we would have been able to develop and sustain ourselves without the franchises," noting that the franchise model delivers "a qualitative aspect of regional presence, which is... very, very valuable." This capillarity is particularly important in a country as geographically vast and economically heterogeneous as Brazil, where a centralized direct sales model would be prohibitively expensive for the SMB tier. The franchise network also contributed strongly to the acceleration in recurring revenue growth from 20% in Q2 2025 to 21% in Q3, driven by momentum in SaaS and cloud sales through channel partners. TOTVS's deep specialization in Brazilian fiscal and legal compliance functions as a regulatory moat. Brazil operates one of the world's most complex tax systems, and the ongoing tax reform -- replacing PIS, COFINS, ICMS, and ISS with the new CBS and IBS dual-VAT structure between 2026 and 2033 -- will require every Brazilian company to run two parallel tax regimes simultaneously for years. TOTVS launched its Tax Intelligence cloud solution in Q2 2025, contributing approximately BRL 20 million in net ARR additions in its first quarter alone. Management has characterized the reform as "a great opportunity" and a "great driver of enterprise digitalization," positioning TOTVS as the trusted advisor to guide SMBs through a multi-year compliance transition. At Investor Day 2025, the company explicitly stated that "TOTVS will be able to deliver the most comprehensive service to our customers" on tax reform, leveraging both product capabilities and relationship depth. This is a structural tailwind that no international competitor can credibly address, given SAP's and Oracle's lack of granular knowledge of Brazilian SMB tax dynamics.

Domestic competitors and disruptive threats. The most relevant competitive threats come not from global players but from domestic challengers. Sankhya, backed by private equity, has been on an aggressive acquisition campaign targeting the mid-market segment (companies with BRL 10 million to BRL 500 million in revenue), growing from BRL 192 million in revenue in 2020 to BRL 423 million in 2023, with ambitions to reach BRL 1 billion. Senior Sistemas holds a notable position in the industrial vertical. However, neither possesses TOTVS's breadth of vertical coverage across 12+ industries, its franchise distribution infrastructure, or its R&D scale. TOTVS's Management segment alone generated BRL 5.5 billion in ARR by Q4 2025, growing 18% year-over-year, a base roughly five to ten times

larger than its closest domestic ERP rival. This scale advantage compounds through higher R&D investment capacity: TOTVS invests approximately 12% of revenue in R&D, enabling the kind of platform-level innovation -- such as the LYNN AI foundation launched in Q4 2025 -- that smaller competitors cannot match.

In adjacent markets, RD Station competes with HubSpot and other marketing automation platforms, but its integration with the TOTVS ERP base gives it a distinctive go-to-market advantage, leveraging the franchise network as a distribution channel for cross-selling marketing and CRM tools to existing Management clients. Techfin, the joint venture with Itau Unibanco, represents a strategic extension into embedded finance that competitors have not replicated. By using real-time ERP data -- cash flows, receivables, payables -- as inputs for credit scoring, Techfin achieves default rates approximately 67% below the market average, a data advantage that is structurally unavailable to standalone fintechs or traditional banks. Credit production reached BRL 2.8 billion in 2025, with Techfin's revenue net of funding growing 14% year-over-year and EBITDA expanding 43%.

Durability and erosion risks. The central risk to TOTVS's moat is whether AI could lower barriers to entry by enabling global platforms to localize for the Brazilian market more cheaply. Management addressed this directly at Investor Day 2025, arguing that "the level of knowledge of what is SMB, and an SMB does not follow the same dynamics and practices as a large enterprise... is something that SAP or Oracle do not have. They have never had." The company positions itself not as a potential AI victim but as the most prepared firm to deploy narrow AI agents for Brazilian SMBs, given its functional expertise and proprietary data assets. TOTVS's addressable market framework suggests that agentic AI could expand total addressable market by up to 16 times relative to on-premise applications, as AI agents automate tasks currently performed by human labor within client organizations. The more immediate risk may be domestic: if Sankhya or another well-capitalized challenger achieves sufficient scale to invest in vertical depth and distribution, it could contest TOTVS's position in specific segments. However, TOTVS's pending acquisition of Linx would further consolidate its retail and point-of-sale capabilities, reinforcing its dominance in commercial verticals and narrowing the addressable market available to challengers. On balance, the combination of extreme switching costs, regulatory complexity, franchise distribution, and expanding data network effects across ERP, marketing, and financial services creates a competitive position that appears durable over a multi-year horizon.

4. Financial Characteristics

TOTVS exhibits a distinctive financial profile defined by high recurring revenue visibility, asset-light operations, expanding margins, and robust cash conversion -- characteristics that position it as a rare compounding franchise within the Brazilian technology sector.

Revenue Model and Mix. TOTVS generates revenue through three operating dimensions:

Management (core ERP/back-office software), RD Station (marketing automation and CRM SaaS), and Techfin (embedded financial services via a 50/50 joint venture with Itau BBA). Consolidated net revenue reached BRL 5.75 billion in 2025, up 17% year-over-year, building on a five-year revenue CAGR from BRL 2.60 billion in 2020 -- a 2.2x increase. The hallmark of the revenue model is its

recurring nature: 91% of total revenue is recurring, with contract-based subscriptions indexed to Brazilian inflation indices, providing a structural hedge against monetary erosion. Within Management, SaaS and cloud revenue grew 28% year-over-year, now comprising approximately 57% of Management net revenue versus 49% two years prior, evidencing the ongoing migration from on-premise licence to cloud. ARR closed 2025 at BRL 5.8 billion, with full-year net additions of BRL 905 million (+34% year-over-year). Customer retention runs at 98.3% in Management and 95.6% at RD Station, generating high revenue predictability. Geographically, TOTVS is overwhelmingly domestic -- Brazil accounts for the vast majority of revenue, with modest but growing operations in Mexico and Colombia (international revenue grew 27% in Q1 2025). This concentration reflects TOTVS's entrenched position as Brazil's leading ERP vendor for SMBs, holding the number one market share position per the FGV (Getulio Vargas Foundation).

Margin Structure and Trends. The margin architecture reveals a software-economics business layered with an earlier-stage fintech operation. Adjusted consolidated gross margin was 72.8% for full-year 2025, stable year-over-year, with Management's standalone gross margin running at 72.2% in Q4 2025 and RD Station at 76.8%. Adjusted consolidated EBITDA reached BRL 1.50 billion in 2025 (+22% year-over-year), with the margin expanding 110 basis points to 26.2%. At the segment level, the profitability divergence is instructive: Management delivered an EBITDA margin of 28.8% in Q4 2025 (+190 basis points year-over-year), reflecting genuine operating leverage as recurring revenue scales against a largely fixed cost base. RD Station's full-year EBITDA margin reached 12.4% (+240 basis points year-over-year), with EBITDA expanding 45% -- demonstrating that the unit is transitioning from investment phase to harvest. Techfin's annual EBITDA grew 43% to a 13.4% margin (up from 10.6%), though this remains the lowest-margin segment. Operating expenses fell to 45.0% of net revenue in 2025 (versus 45.8% in 2024), with the company highlighting that its Sales/FTE ratio (net revenue per full-time equivalent) improved over 11% year-over-year, partly driven by AI-enabled productivity gains. Adjusted net income for 2025 was BRL 910 million (+26% year-over-year), with the adjusted net margin expanding 100 basis points to 15.8%. The trajectory is one of convergence toward the company's historical peak profitability levels while maintaining double-digit revenue growth -- a combination management itself describes as "rare in the global technology sector."

Returns on Capital. ROIC, calculated as NOPLAT (adjusted net income minus the after-tax financial result) divided by beginning-of-period equity less net debt/cash, reached 19.9% in 2025, up 80 basis points year-over-year. NOPLAT was BRL 939 million. This is an impressive return for a company that has acquired extensively (including the pending Linx transaction). ROE has tracked upward from roughly 4.6% in 2018 to approximately 17-18% in recent years, reflecting both margin expansion and disciplined capital deployment. The 19.9% ROIC substantially exceeds TOTVS's cost of capital in a country where the Selic rate was elevated throughout 2025, suggesting genuine economic value creation.

Cash Conversion and Free Cash Flow. Cash conversion is a standout feature. Full-year 2025 free cash flow to the firm (FCFF) was BRL 889 million, representing 98% conversion of adjusted net income -- near-best-in-class for any software company globally. Operating cash generation totaled BRL 1.55 billion (103% of adjusted EBITDA). The conversion is structurally supported by the prepaid or monthly-billed subscription model, which results in favourable cash collection timing relative to

revenue recognition. Working capital was a BRL 295 million use of cash in 2025 (versus just BRL 79 million in 2024), primarily driven by a BRL 182 million increase in trade receivables and a BRL 131 million build in other assets, partly reflecting year-end commercial campaigns. While this working capital swing bears monitoring, it is modest relative to total operating cash generation.

Balance Sheet and Leverage. TOTVS ended 2025 in a net cash position of BRL 196 million, having swung from net debt of BRL 274 million at year-end 2024. Cash and equivalents stood at BRL 1.79 billion versus gross debt of BRL 1.59 billion, of which 94% matures beyond 24 months. The debt is composed almost entirely of debentures (BRL 1.58 billion) with minimal acquisition-related earn-outs remaining (BRL 13 million, down 87% year-over-year). This balance sheet strength is about to be transformed: in January 2026, TOTVS completed a BRL 3.0 billion 6th debenture issuance (rated AAA(bra) by Fitch, priced at CDI + 0.59%) to fund the Linx acquisition. While pro-forma leverage will increase materially, the investment-grade rating and tight pricing reflect market confidence in the company's cash generation durability.

Capital Intensity. TOTVS is a low-capital-intensity business. Total investment in property, plant, equipment, and intangible assets was BRL 258 million in 2025 (approximately 4.5% of revenue), of which BRL 160 million was PP&E and BRL 98 million was intangible assets (primarily capitalised software development). This is maintenance-and-growth capex blended; the company has announced an incremental BRL 75 million per year over four years (approximately BRL 600 million total) in R&D capex for its LYNN AI foundation platform. R&D expense (expensed through the P&L) totaled BRL 823 million in 2025, or approximately 18% of recurring revenue, indicating meaningful investment in product evolution. Depreciation and amortization was BRL 341 million (BRL 266 million adjusted, excluding acquisition-related intangible amortisation of BRL 75 million), exceeding capex and confirming the capital-light profile.

Cyclicalities. TOTVS's financial profile exhibits notable defensive characteristics for a technology company operating in a volatile emerging market. Revenue grew through every year from 2020 to 2025, including during the COVID pandemic (2020 revenue of BRL 2.60 billion still represented positive growth). The entirety of recurring software revenue is contractually indexed to Brazilian inflation indices, providing a natural hedge. The 91% recurring revenue share, 98%+ customer retention, and the mission-critical nature of ERP software (deeply embedded in customers' daily operations) create high switching costs that dampen cyclicalities. The primary macro sensitivity is indirect: TOTVS's SMB customer base is exposed to Brazilian economic cycles, which can affect new customer acquisition pace and Techfin credit volumes, but the installed base generates remarkably stable cash flows regardless of the economic environment.

5. Red Flags & Risks

The Linx acquisition is a bet-the-company move disguised as a bolt-on. TOTVS is paying BRL 3.05 billion for StoneCo's Linx unit, funded entirely by a debenture issuance that triples the company's gross debt from BRL 1.6 billion to approximately BRL 4.6 billion. For a company that had operated in a comfortable net cash position, this is a radical shift in capital structure. The transaction closed in early 2026 after CADE approval, but CADE's clearance does not eliminate integration risk. Linx is a

retail-focused software platform with its own technology stack, its own customer base, and its own culture -- forged under StoneCo's ownership, which itself acquired Linx in a contested 2020 deal. TOTVS must now integrate an asset that has already been through one disruptive ownership change. Management speaks confidently about "synergies" and "low execution risk," echoing precisely what every serial acquirer says before the margin compression begins. Investors should note that TOTVS's acquisition history -- Datasul (2008), RD Station (2021, BRL 1.86 billion), multiple smaller tuck-ins -- has progressively loaded the balance sheet with goodwill and intangible assets. The Linx deal will add another massive tranche. The question is straightforward: what is the aggregate goodwill-to-equity ratio after closing, and at what point does a macro downturn or integration stumble trigger an impairment charge that wipes out a year of earnings?

Techfin is a credit business wearing software clothing. TOTVS's Techfin segment -- a joint venture with Itau -- has been growing its credit book at roughly 60% year-on-year. Management touts delinquency rates "67% below the market average" and emphasizes the advantage of ERP data in underwriting decisions. This narrative is seductive and familiar. Every fintech lender in Brazil has claimed superior credit models until the cycle turns. Brazil's benchmark Selic rate has been at or above 13% for an extended period; SMB borrowers -- TOTVS's core customer base -- are the most vulnerable segment when credit conditions tighten. The over-90-day delinquency rate in Brazil's broader market has been creeping back up to 3.29%, and the 15-to-90-day bucket sits at 4.08%, a leading indicator that trouble is building. TOTVS's credit book remains relatively small, but it is growing aggressively into a deteriorating macro environment. Management's decision to optimize "floating resources" as a funding source should give investors pause -- this is the kind of funding structure optimization that sounds clever right up until a liquidity squeeze. The partnership with Itau provides some risk-sharing, but investors should demand granular disclosure on vintage-level default curves, the proportion of the credit book that is unsecured, and the precise loss-sharing mechanics between TOTVS and Itau.

RD Station's churn problem is being managed through narrative, not results. Analysts have repeatedly pressed management on elevated churn at RD Station, the BRL 1.86 billion marketing automation platform acquired in 2021. As recently as Q1 2025, management acknowledged that RD's customer profile -- skewing toward smaller, more discretionary buyers -- "brings some churn issues." Customer retention for the broader business is reported at 98.3%, but this figure blends the sticky ERP core with the leaky RD funnel. RD Station competes in a crowded global market against HubSpot, Salesforce Marketing Cloud, and local alternatives, with switching costs far lower than those of an embedded ERP system. The multiproduct cross-sell strategy that justifies the acquisition premium remains aspirational. If RD Station's standalone churn rate were disclosed separately, it would likely look much less comfortable than the blended figure suggests.

The Dimensa disposal raises questions about capital allocation discipline. TOTVS sold its stake in Dimensa -- a financial infrastructure joint venture with B3 -- to Evertex for BRL 1.4 billion enterprise value, having reclassified it as discontinued operations. Dimensa's revenues were declining 18.3% year-on-year through the first nine months of 2025. This is a business that was once presented as a strategic pillar. Its quiet divestiture suggests either that the original investment thesis was wrong, or that management waited too long to exit a deteriorating asset. Either way, it undermines confidence in

the company's ability to assess adjacency opportunities, which matters enormously as TOTVS simultaneously doubles down on Techfin credit, commits BRL 600 million over four years to AI via the LYNN platform, and absorbs Linx.

The AI spending commitment is large and undefined. BRL 600 million over four years on LYNN, TOTVS's AI platform, is a significant capital commitment for a company with BRL 889 million in annual free cash flow. Analysts on the Q4 2025 call directly raised the risk that AI could disrupt TOTVS's seat-based pricing model -- if AI agents replace human users interacting with the ERP, the entire revenue model is threatened. Management's response was reassuring but vague. The capitalization treatment of this spending also warrants scrutiny: how much of the BRL 600 million will be expensed versus capitalized as intangible development costs? Aggressive capitalization would flatter near-term EBITDA while obscuring the true cost of staying competitive.

Governance bears the hallmarks of founder-era control. TOTVS is listed on B3's Novo Mercado, which mandates a one-share-one-vote structure, but founder Laercio Cosentino retains significant influence as board chairman through investment vehicles including LC12 Participacoes. CEO Dennis Herszkowicz, appointed in 2018, previously worked at Linx -- a connection that arguably creates a conflict of interest in the current acquisition. The board's composition and the interlocking relationships between founder, CEO, and strategic targets deserve more scrutiny than they typically receive.

Brazil's tax reform is a double-edged sword. The transition from Brazil's five indirect taxes to the new CBS/IBS framework between 2026 and 2033 creates enormous short-term demand for ERP updates -- TOTVS has called this a "generational opportunity." But this demand is front-loaded and one-off. Once companies have updated their systems, the revenue tailwind evaporates and potentially reverses if implementation costs prove lower than expected. Meanwhile, the IOF tax reform chaos of mid-2025 -- when the government's BRL 20.5 billion revenue grab was reversed by Congress within days -- is a reminder that Brazilian fiscal policy can shift abruptly, creating regulatory whiplash for companies whose customers depend on tax stability.

The Bear Case. In the downside scenario, Brazil enters a recession or prolonged period of macro stress. High interest rates push SMB defaults higher, and TOTVS's Techfin credit book, now meaningfully larger after aggressive growth, suffers vintage deterioration that the ERP-data underwriting advantage cannot offset. The Linx integration proves slower and more expensive than projected, with customer attrition during migration. RD Station churn accelerates as small business marketing budgets are cut. Goodwill impairment charges from accumulated acquisitions compress reported earnings. The BRL 3 billion debenture load, rolled in a high-rate environment, drags on free cash flow. The AI investment fails to produce a differentiated monetizable product, and the market re-rates TOTVS from "high-quality compounder" to "over-levered acquirer with a credit tail risk."

Questions for management: (1) What is the all-in goodwill and intangible asset balance post-Linx closing, and what are the key assumptions in your annual impairment test? (2) What is RD Station's standalone churn rate, and why is it not disclosed separately? (3) Can you provide vintage-level delinquency data for the Techfin credit book and clarify the exact loss-sharing arrangement with Itau? (4) How much of the BRL 600 million LYNN AI spend will be capitalized versus expensed, and what are the internal return hurdles? (5) What is the contingency plan if Linx customer attrition exceeds your integration model? (6) How do you assess the conflict of interest created by the CEO's prior employment at Linx in the context of this acquisition?

6. Investment Checklist

1. Understandable business - YES

TOTVS is Brazil's largest enterprise software company, providing ERP, HR, and vertical business management solutions primarily to small and mid-sized enterprises. The core model is straightforward: sell mission-critical software on a subscription basis, collect recurring revenue, and expand into adjacent domains such as financial services (Techfin) and marketing/CRM (Business Performance, via RD Station). With 91% recurring revenue and a franchise-based distribution network, this is a highly comprehensible, subscription-driven software business.

2. Durable competitive advantages (widening not narrowing) - YES

TOTVS benefits from deeply entrenched switching costs: its ERP systems are woven into clients' daily operations, driving 98.3% net revenue retention. The franchise distribution model gives TOTVS capillary reach across Brazil's fragmented SME market that would be extraordinarily expensive for any competitor to replicate. The expanding product suite (Techfin credit products, RD Station marketing tools, LYNN AI platform) creates cross-sell opportunities that deepen the moat over time. Brazil's tax reform, forcing SMEs to upgrade compliance systems, is an exogenous tailwind that further reinforces TOTVS's position. The moat is widening, not narrowing.

3. Long reinvestment runway at high returns - YES

Brazil has roughly 20 million SMEs, the vast majority still underserved by modern cloud-based software. TOTVS's cloud and SaaS revenue is growing at 28% year-over-year, reflecting early innings of a cloud migration cycle. The Techfin segment represents a large greenfield opportunity layered on top of the core ERP installed base. ARR of BRL 5.8 billion growing at 19% suggests the company is compounding at a pace that can persist for years given the addressable market size. Tax reform compliance requirements alone could drive a multi-year upgrade cycle.

4. High returns on incremental capital - YES

ROIC stands at approximately 20%, strong for a company investing heavily in Techfin and Business Performance. The core Management segment likely earns significantly higher returns than the consolidated figure suggests. As Techfin margins expand (10.6% to 13.4%) and RD Station margins improve (+560bp y/y in Q2 2025), blended returns on incremental capital should continue rising.

5. Strong free cash flow generation - YES

Free cash flow of BRL 889 million represents 98% conversion of adjusted net income -- outstanding. The subscription-based model with upfront collections and low capital intensity underpins this. The business requires minimal capex relative to revenue, and working capital dynamics are favourable given the prepaid nature of many contracts.

6. Conservative balance sheet - PARTIALLY

TOTVS holds a net cash position of BRL 196 million at the operating level. However, the BRL 3 billion debentures for the Linx acquisition are significant. While manageable given cash flow generation and serviced without difficulty, Brazilian interest rates remain elevated (Selic above 14%), increasing carrying costs. The balance sheet is adequate but not fortress-like; it warrants monitoring.

7. Aligned management with skin in the game - YES

Founder-influenced governance and long-tenured leadership define TOTVS. Management's track record of outperforming market CAGR by 1.2x over five-to-ten-year periods suggests disciplined execution. The largest-ever share buyback program signals confidence and alignment. Insider ownership and long tenure of senior executives reinforce alignment with long-term value creation.

8. Rational capital allocation history - PARTIALLY

The core organic reinvestment track record is excellent. However, the Linx acquisition was a large, contested deal introducing meaningful debt and integration complexity. While integrated and cross-sell synergies are materialising, the price paid was high and the deal was partly defensive. The Techfin JV with Itau and RD Station acquisition have shown improving returns but required patience. On balance, more rational than not, but the Linx episode introduces caution.

9. Favourable industry structure - YES

Brazil's enterprise software market for SMEs is effectively a near-monopoly for TOTVS in the ERP layer. The market is structurally growing as digital adoption increases, informality decreases, and regulatory requirements force technology upgrades. Network effects from the franchise distribution channel create a favourable competitive dynamic.

10. Reasonable valuation relative to quality and growth - PARTIALLY

At ~BRL 20.1 billion market cap, TOTVS trades at around 22x adjusted net income and ~14x EV/EBITDA on 2025 figures. For a business growing revenue at 17%, earnings at 26%, with 98% FCF conversion and 20% ROIC, this is reasonable relative to quality. Compared to global SaaS peers trading at higher multiples with lower growth rates, TOTVS offers compelling relative value. However, Brazil's elevated rates and currency risk mean the current multiple leaves limited margin of safety if growth decelerates.

11. Resilience to recession or disruption - YES

The 98.3% retention rate and 91% recurring revenue demonstrate non-discretionary nature. During past Brazilian recessions, the company maintained revenue stability. The franchise model provides cost flexibility. The primary disruption risk -- global hyperscalers entering the Brazilian SME market -- is mitigated by language barriers, local tax complexity, and entrenched distribution.

12. Transparent management communication - YES

TOTVS provides detailed quarterly disclosures with granular segmental breakdowns. Earnings calls address strategic priorities with specificity rather than vague platitudes. Management openly discusses margin trajectories, churn dynamics, and competitive positioning. Above-average transparency for a Brazilian mid-cap.

Overall Assessment: TOTVS checks nearly every box on a quality compounder checklist. The business is protected by deep switching costs and a unique franchise moat that is actively widening. Returns on capital are high and improving, while free cash flow conversion is exceptional. The reinvestment runway is long. The two areas warranting closer scrutiny are the balance sheet (Linx-related debt during elevated Brazilian rates) and valuation (reasonable but not deeply discounted). On balance, TOTVS presents a compelling case as a high-quality Latin American compounder for patient, long-term investors willing to accept Brazilian macro and currency exposure.

7. Learning Resources

TOTVS occupies a unique position as Latin America's largest enterprise software company, yet it remains underfollowed by English-language media compared to its global SaaS peers. The resources below combine Portuguese-language primary sources -- essential for any serious analyst -- with English-language coverage that provides strategic context.

Podcasts & Audio

- **"Laercio Cosentino -- A Historia da TOTVS"** -- *Podcast Primo Rico* (Thiago Nigro). A long-form interview with TOTVS's founder covering the company's origins in the 1980s as Microsiga, the consolidation strategy, and Cosentino's vision for embedding financial services into enterprise software. Available on Spotify.
- **"TOTVS: The Largest Software Company in Brazil"** -- *Stock Spinoff Investing Podcast*. Discusses TOTVS's competitive advantages, switching costs, and the rationale behind the Linx deal. Useful English-language primer.
- **"Brazilian Tech Ecosystem"** -- *The Emerging Markets Podcast* (John Darsie / SALT Talks). Periodic episodes featuring Brazilian tech executives contextualizing TOTVS within the broader digitization landscape. Available on YouTube.
- **"TOTVS (TOTS3) -- Valuation e Tese de Investimento"** -- *Podcast Investidor Sardinha* (Raul Sena). Portuguese-language walkthrough of TOTVS's investment thesis and Techfin segment economics. Available on Spotify.

YouTube & Video

- **TOTVS Investor Day Recordings** -- *TOTVS RI Channel*. The 2024 and 2025 sessions cover LYNN (the AI platform), Techfin's credit-as-a-service model, and RD Station's integration roadmap. Available on TOTVS's IR page and via Quartr.
- **"Como a TOTVS Dominou o Mercado de ERPs no Brasil"** -- *InfoMoney YouTube Channel*. Portuguese-language explainer covering TOTVS's consolidation strategy and 50%+ SMB market share. Available on YouTube/InfoMoney.
- **Quartr Earnings Call Replays** -- All quarterly earnings calls from Q1 2020 through Q4 2025 available with synchronized transcripts and slides on Quartr's TOTVS page.

Books

- **"Na Trilha do Sucesso"** by Laercio Cosentino -- The founder's own account of building TOTVS from a small Sao Paulo software shop into Brazil's dominant ERP provider. Essential for understanding the culture of acquisition-led growth. Published in Portuguese.
- **"O Efeito Plataforma"** by Sangeet Paul Choudary (Portuguese edition) -- Directly applicable to understanding TOTVS's strategic pivot toward Techfin and its ambition to transform ERP infrastructure into a financial services distribution platform.

Long-Form Articles & Research

- **TOTVS write-ups on Seeking Alpha and Value Investors Club** -- Periodic English-language investment write-ups with detailed financial analysis. Search for TOTS3.
- **"Latin American SaaS: The Next Frontier"** -- *Atlantico Latin America Digital Report*. The annual Atlantico report provides macro context on digital adoption and software spending across Latin America.
- **TOTVS Annual Integrated Report** -- Published each spring on TOTVS IR, combining financial results with ESG metrics, segment-level KPIs, and strategic outlook.

Earnings Calls & Primary Sources

- **Quartr** -- web.quartr.com/companies/5955. Transcripts, slides, and audio for every quarterly call and Investor Day from Q1 2020 through Q4 2025.
- **TOTVS Investor Relations Portal** -- ri.totvs.com. Earnings releases, annual reports, reference forms, and governance documents.

- **CVM (Brazilian Securities Commission)** -- cvm.gov.br. Regulatory filings including material fact notices and insider trading disclosures.

Suggested Learning Path

Start with the **TOTVS Investor Day 2025 transcript on Quartr** for the most current strategic overview, then read the **2024 Annual Integrated Report** for detailed segment economics. Next, listen to the **last four quarterly earnings calls** on Quartr to track management's tone and KPI trajectory. For competitive and macro context, review the **Atlantico Latin America Digital Report** and search for recent TOTVS write-ups on **Seeking Alpha**. Finally, for the founder's vision and cultural DNA, read Cosentino's "**Na Trilha do Sucesso.**"

8. Corporate Culture

TOTVS's corporate culture is inseparable from the personality of its founder, Laercio Cosentino, who started the company in 1983 as Microsiga -- a time when Brazil's technology sector was embryonic and import-substitution policies meant that any domestic software business had to be built from scratch with extraordinary persistence. Cosentino's background as an engineer and entrepreneur in Sao Paulo's emerging tech community embedded several lasting traits into the organization: a missionary belief that Brazilian SMBs deserve world-class technology, a pragmatic willingness to build unconventional distribution models, and a self-image as a perpetual underdog competing against global incumbents. Cosentino has repeatedly described TOTVS as "an eternal startup," a framing that signals both the aspiration to remain agile and the risk that a 40-year-old company with over 10,000 employees may be romanticizing its own dynamism.

Founder Succession and Decision-Making. One of the most important cultural inflection points came in 2018, when Cosentino stepped up to Chairman and appointed Dennis Herszkowicz as CEO. This was a genuine professionalization of leadership rather than a cosmetic change. Herszkowicz brought a more structured, metrics-driven management style, overseeing the transformation from license-based revenue to SaaS subscriptions, the creation of the three-dimensional ecosystem strategy, and a series of large acquisitions including Linx and RD Station. Critically, Cosentino did not disappear: he remains deeply engaged as Chairman, and his son, Marcelo Eduardo Cosentino, serves in a senior product leadership role -- presenting core product strategy at the 2025 Investor Day. This creates a hybrid culture: professional management at the executive level layered on top of a family-influenced board and brand identity. While the Cosentino family presence provides cultural continuity, it also introduces questions about long-term governance independence and whether dissenting views can fully surface.

The decision-making architecture reflects TOTVS's franchise heritage. The company pioneered a franchise distribution model for enterprise software in the 1980s, which by necessity required decentralized execution -- franchise partners operating across Brazil's vast geography needed autonomy in sales, implementation, and customer service. This structural decentralization persists today. Product and strategic decisions are centralized at headquarters in Sao Paulo, but the go-to-market organization relies on hundreds of channel partners with significant local discretion. This

model has been a cultural strength, enabling TOTVS to serve fragmented SMB segments across diverse industries at a scale that no centralized sales force could efficiently reach. However, it also means the company cannot fully control customer experience quality, and integrating acquired companies into this distributed model involves cultural friction.

Talent and Employer Reputation. TOTVS scores well on external employer benchmarks. Its Glassdoor rating stands at 4.1 out of 5.0 based on approximately 5,400 reviews, with 84% of employees willing to recommend the company to a friend. The culture and values sub-rating is 4.1, while work-life balance scores 4.0. TOTVS ranked 11th in Great Place to Work Brazil's "Giant" company category in 2025, and placed 2nd in the Employers for Youth ranking of best companies for female professionals under 35, suggesting genuine investment in diversity. The recurring employee complaints, however, center on compensation and benefits (rated 3.7), senior leadership communication, and middle management quality. These are common patterns at companies that have grown rapidly through acquisition. The compensation concern is worth monitoring -- in Brazil's competitive technology labor market, where fintechs and global tech firms aggressively recruit, below-market pay packages could erode TOTVS's talent base, particularly in engineering and data science roles critical to its AI strategy.

Innovation Culture. TOTVS demonstrates a hybrid approach to innovation -- a combination of internal R&D and acquisitive growth. The company has historically been willing to take bold, unconventional bets. CEO Herszkowicz frequently invokes the language of pioneering: in the Q3 2022 earnings call, he emphasized that TOTVS was "the first management software company in the world" to develop its 3D ecosystem strategy, and at the Q4 2025 call, he declared the company "best prepared in the world" to lead narrow AI applied to SMBs. The 2025 Investor Day was dominated by the launch of LYNN, described as "the first AI foundation in the Brazilian market." This pattern reveals a culture comfortable with ambitious, vertically integrated bets -- a strength when execution succeeds, but a risk of overreach when R&D capabilities are stretched.

Customer Orientation and Ethics. TOTVS consistently frames itself as a "trusted adviser" to Brazilian SMBs, and the franchise model inherently ties channel partners to customer success, since franchise revenue depends on retention and upselling. Customer churn metrics in the Management segment have been stable, suggesting the orientation is more than rhetoric. On ethics and compliance, no material scandals, regulatory penalties, or governance controversies involving TOTVS were identified in public records.

Cultural Risks. Three risks merit attention. First, the gap between TOTVS's self-narrative as a nimble startup and the reality of a complex, multi-segment organization could breed complacency. Second, the family dimension -- Cosentino as Chairman, his son in senior product leadership -- creates a soft ceiling on how fully the culture can professionalize, and may deter some high-caliber external executives. Third, the rapid expansion into three distinct business lines risks cultural dilution, as each segment attracts different talent profiles and may develop sub-cultures that diverge from the parent company's identity. The Glassdoor feedback about senior leadership and management quality may already be an early signal of this fragmentation.

9. Earnings Call Deep Dive

Narrative Evolution: From "Death Hoax" to AI Foundation

Over the four quarters spanning Q1 2025 through Q4 2025, TOTVS management constructed a remarkably deliberate narrative arc -- one that began with defensive pushback against market skepticism and culminated in a bold offensive positioning around AI.

In Q1 2025, CEO Dennis Herszkowicz devoted his entire opening message to correcting what he framed as a systemic modeling error by the sell side. He walked analysts through a back-test showing that, had they projected from 2019, their estimates would have captured "less than 3/4 of what was realized." The tone was pointed: "When new reports of the death of our growth appear, we will take the liberty of drawing inspiration from Mark Twain and reply that reports of our early death were greatly exaggerated." This was not an off-the-cuff remark; it was the closing line of the prepared message, designed to reframe investor expectations upward. On AI, the language was cautious -- "measured pace," investments described as already underway but "not in the business of AWS or Azure," with no major surprises expected.

By Q2 2025, the narrative pivoted hard to strategic offense. The Linx acquisition announcement dominated the call, and Dennis's framing shifted from defending growth to expanding the perimeter: "TOTVS is everything, everyone. That's why we welcome Linx with open arms." Tax reform emerged as a new structural growth driver, with the launch of TOTVS Tax Intelligence (TITI) contributing roughly BRL 20 million to ARR net additions in its first quarter. Notably, the prepared remarks introduced a philosophical framing -- quoting Leonardo Da Vinci on simplicity as "the ultimate sophistication" -- signaling management's confidence that the strategy was coherent despite growing complexity.

Q3 2025 was the Techfin validation quarter. Dennis opened with the most detailed defense yet of ERP Banking, citing specific metrics: "3.3x higher credit limits, 67% lower delinquency than the market average and an average ticket that is 3x higher." The language around RD Station became noticeably more assertive -- Dennis publicly criticized analysts who failed to adjust for the Conversas revenue reclassification, naming firms that got it right (Goldman, GP, Itau, Safra, XP) and implicitly shaming those that did not. This is unusual candor for a CEO on an earnings call and signals both confidence and frustration.

The Q4 2025 call represented a qualitative shift. The format itself changed -- sell-side analysts attended in person at an arena venue, a first for TOTVS. The LYNN AI foundation was launched with a BRL 600 million, four-year CapEx commitment. Dennis directly engaged the "Gen AI Will Kill Software" narrative, calling it a "death hoax" and arguing forcefully for ANI (Artificial Narrow Intelligence) over AGI as the relevant path for SMB software. The claim escalated dramatically: "TOTVS is the company best prepared in the world, and I repeat, in the world to lead ANI applied to SMBs."

Guidance and Delivery

TOTVS does not issue formal numerical guidance, but management consistently sets directional

expectations and tracks implicitly against them. The record is strong. In Q1 2025, Dennis flagged that the "knock-on effect" of recurring revenue growth should push long-term estimates higher; consolidated ARR net additions then sustained above BRL 190 million for every subsequent quarter, with Q1's BRL 287 million being the high-water mark. Management signaled margin expansion would resume once the IGPM-IPCA mismatch resolved; EBITDA margin expanded from 25.1% in Q4 2024 to 27.1% by Q4 2025, a 200 basis point improvement in a year. On RD Station, management promised that the multiproduct transition would ultimately bear fruit despite near-term retention volatility. By Q4, SaaS revenue grew 6.3% sequentially (25% annualized), and ARR additions "nearly doubled year-over-year." Dennis explicitly called Q4 a "turn around the corner" for RD. Techfin delivered as promised: adjusted EBITDA grew 43% year-over-year with margin expanding 280 basis points to 13.4%. The one area where delivery lagged narrative was AI monetization. In Q1, Dennis described AI investments at a "measured pace." By Q4, BRL 600 million in incremental CapEx was announced, and TaaS enabler revenue grew 72% year-over-year but from a small base. The early metrics are promising but remain embryonic.

Analyst Concerns and Recurring Themes

Three topics dominated Q&A across all four calls. First, **RD Station's retention and churn dynamics** appeared in every single quarter. Analysts from Goldman Sachs, JPMorgan, and XP all probed whether higher churn was structural or transitional. Management's response evolved -- from acknowledging "oscillations" in Q1, to celebrating the "first positive result" in retention recovery in Q2, to declaring victory in Q4. The persistence of this question reveals that the market remains unconvinced RD's unit economics are durable. Second, **Management margin trajectory** was perennial, particularly from JPMorgan's Marcelo Santos and Safra's Silvio Doria. The disclosure of a 29% margin for "more mature operations" in Q3 created a de facto ceiling expectation. By Q4, management was hinting the ceiling had risen: "if it was 29%, it no longer is, and we are almost there... when we reach our target, we double it." Third, **Dimensa's margin drag** was raised repeatedly. Management's response was remarkably candid -- acknowledging the issue while resisting a timeline for convergence. The eventual sale in Q4 resolved this concern entirely and retroactively validated the "no synergy" commentary. Notably, **no analyst pressed hard on Techfin credit risk** in any quarter, despite Brazil's rising Selic environment.

Language Signals

Dennis Herszkowicz's rhetoric escalated measurably across the four quarters. In Q1, hedging language was present: "we see promising perspectives." By Q3, conviction markers dominated: "we are extremely reassured and excited." By Q4, the language became categorical: "we have no doubt," "TOTVS is the company best prepared in the world." The shift from "promising" to "no doubt" over twelve months tracks with accelerating financial performance. CFO Maia consistently used more measured language, offering structural explanations and avoiding forward-looking superlatives. This good-cop/bad-cop dynamic between CEO enthusiasm and CFO precision appears deliberate and well-calibrated.

Key Reveals

1. The market has been systematically under-modeling TOTVS growth. In Q1 2025, Dennis presented a back-test showing sell-side estimates from 2019 would have projected BRL 960 million in quarterly revenue versus the BRL 1.3 billion actually delivered -- a 35% miss. "In other words, expectations corresponded to less than 3/4 of what was realized. In terms of EBITDA, the gap would have been even greater."

2. AI agent implementation costs are being positioned as modest. In Q4: "By focusing on ANI and leveraging its assets and strengths, TOTVS has the unique ability to do much more in AI with significantly less investment, a mindset similar to the most efficient innovators in the market, millions rather than billions."

3. Dimensa had no strategic synergy -- and management was telegraphing the exit. In Q2 2025: "Dimensa continues being an excellent business with an excellent value but with no synergy with the rest of the company."

4. RD Station's normalized margin is above 20%. In Q4, Avelar disclosed: "Normalizing EBITDA for the one-off event cost, RD's margin would have exceeded 20%." Given the reported 13.7% margin, this reveals significant operating leverage masked by event spending.

5. AI is already impacting the P&L through productivity. In Q4: "Net revenue per FTE... we recorded growth of more than 11% in the fiscal year of '25 versus '24." Implementation hours per standard deployment fell from 1,000 to "a little over 500" -- a 50% reduction.

Q&A Dynamics

The analyst cohort is stable and engaged: Marcelo Santos (JPMorgan), Vitor Tomita (Goldman Sachs), Silvio Doria (Safra), Leonardo Olmos (UBS), Maria Clara Infanzozzi (Itau), Luis Chagas (XP), and Bernardo Guttmann (XP) appear repeatedly. Management engages substantively with virtually every question. Dennis uses Q&A to advance strategic messaging -- his responses frequently exceed the question scope, pivoting to reinforce key themes. Across all four calls, there were no meaningful deflections or refusals to engage -- the only topic met with vagueness was AI revenue attribution.

10. Strategic Documents Analysis

Strategic Priorities: The Three-Dimension Ecosystem

TOTVS's strategic communications across 2023-2025 reveal a company that has deliberately expanded its identity from "Brazil's ERP leader" to "Brazil's business technology ecosystem." Management articulates the strategy around three reinforcing dimensions -- Management (core ERP), Business Performance (RD Station), and Techfin (financial services embedded in ERP) -- with artificial intelligence, culminating in the LYNN platform, now serving as the connective tissue binding all three. The evolution is instructive. At the 2023 Investor Day, the framing was still anchored in the traditional management software business with Techfin and Business Performance presented as promising adjacencies. By 2024, the messaging shifted toward cross-sell synergies, emphasizing how the

integrated ecosystem creates switching costs that standalone competitors cannot match. The 2025 Investor Day marked a decisive pivot: CEO Herszkowicz opened by declaring that "the evolution of the management software through years, through the decades is an evolution that goes together with the AI evolution," positioning TOTVS as the AI enablement layer for Brazilian enterprises. The BRL 600 million LYNN AI platform investment represents the most concrete capital commitment to this vision. The five discernible pillars as of early 2026: (1) accelerating cloud and SaaS migration; (2) scaling RD Station as the SME marketing automation standard; (3) building Techfin into an embedded credit and payments platform; (4) deploying AI across all three dimensions via LYNN; and (5) deepening the franchise distribution network as a defensible go-to-market moat.

Capital Allocation Framework: Rhetoric Increasingly Backed by Action

Management's capital allocation rhetoric has historically emphasized organic reinvestment and bolt-on M&A. The narrative shifted materially in 2025. Three actions demonstrate evolution: the disposal of Dimensa, the launch of the largest-ever share buyback programme, and the BRL 600 million LYNN investment. Taken together, these signal a management team simultaneously pruning underperforming assets, returning capital when the stock is undervalued, and concentrating investment on highest-conviction growth vectors. The numbers broadly support the rhetoric. Capital expenditure and R&D have risen in absolute terms but remained disciplined as a percentage of revenue, while EBITDA margins expanded from ~22% to 26.2% over 2020-2025. ROIC at 20% and FCF conversion at 98% confirm that capital allocation is generating returns well above the cost of capital, though Techfin's capital intensity remains a drag that management tends to understate in presentations.

Long-Term Targets: Ambitious but Grounded in Track Record

TOTVS avoids explicit multi-year numerical guidance, instead framing targets through directional commitments: sustained double-digit recurring revenue growth, continued EBITDA margin expansion, and increasing SaaS+Cloud penetration. At the 2024 and 2025 Investor Days, management expressed confidence in sustaining mid-to-high-teens revenue growth while expanding margins. Credibility is supported by a remarkably consistent execution record. Revenue has compounded at ~17% annually over 2020-2025, with recurring revenue now representing 91% of total. The SaaS+Cloud migration, growing at 28%, has years of runway remaining. However, Techfin's long-term margin targets remain the area of greatest uncertainty -- management has periodically suggested mid-20s EBITDA margins at scale, but profitability remains sensitive to Brazilian interest rate cycles.

Narrative vs. Reality: Strong Alignment with One Key Gap

The alignment between TOTVS's strategic narrative and financial results is unusually strong. Management said it would grow recurring revenue faster than total revenue -- and it has (91%). Management said Linx would strengthen retail -- and net additions have accelerated post-integration. Management said cloud migration would drive margin expansion -- and EBITDA margins expanded 400+ basis points over five years. The key gap lies in Techfin. Strategic presentations consistently frame Techfin as a transformational embedded finance opportunity. The vision is compelling, but financial reality has been volatile. The

Dimensa disposal and Supplier JV restructuring suggest the original blueprint required significant revision. Investor Day slides still present Techfin's addressable opportunity in aspirational terms that exceed current P&L trajectory.

Addressable Market and Growth Framing

TOTVS frames its TAM across the three dimensions as exceeding BRL 150 billion. The Management segment TAM (~BRL 50-60 billion) is anchored in credible industry estimates. With current Management revenue around BRL 4.5 billion, TOTVS claims 8-10% penetration, providing a persuasive runway narrative. The TAM framing becomes more aspirational in newer segments -- RD Station's addressable market is defined broadly to include all SME marketing spend, and Techfin often references total credit volume flowing through connected enterprises rather than margin-equivalent revenue.

Risk Acknowledgement

TOTVS's strategic documents are reasonably forthcoming about competitive risks but less candid on macroeconomic sensitivity. Techfin's performance is inherently tied to Brazilian credit cycles, yet Investor Day presentations tend to present growth scenarios without adequately stress-testing downside cases. The forward-looking disclaimers are boilerplate; they do not substitute for the scenario analysis sophisticated investors would find valuable.

Evolution of Messaging

The arc from 2023 to 2025 reveals deliberate repositioning. 2023: "three dimensions with cross-sell." 2024: "ecosystem network effects." 2025: "AI-first company" with LYNN as the platform that "decodes" AI for every business in Brazil. This repositioning aligns TOTVS with the dominant technology narrative and justifies premium multiples, but raises expectations for AI-driven revenue contribution that will take time to materialise. Investors should watch for concrete AI revenue metrics in 2026-2027.

11. Synthesis

The Five Things an Investor Must Understand

First, TOTVS is not just a software company -- it is an infrastructure layer for Brazilian SMBs.

The 98.3% retention rate, 91% recurring revenue, and inflation-indexed contracts mean that TOTVS's core Management business functions like a toll road: once installed, the ERP becomes the system of record that every other business process depends on. The franchise distribution model, unique among global enterprise software companies, provides capillary reach that no competitor -- domestic or international -- has been able to replicate in four decades. This is not a business that can be disrupted by a better product alone; a challenger would need to rebuild an entire ecosystem of local implementation partners across Brazil's continental geography.

Second, the three-dimensional strategy is real but unevenly proven. Management (ERP) is a

cash-generating fortress with 28.8% EBITDA margins and a clear path to 30%+. RD Station is crossing the profitability inflection -- the normalized 20%+ EBITDA margin revealed in Q4 2025 suggests the BRL 1.86 billion acquisition is beginning to earn its cost of capital. Techfin remains the open question. The ERP Banking thesis is intellectually elegant (use proprietary financial data to underwrite credit at 67% lower default rates), and the Itau partnership provides risk-sharing, but this is a credit business in a country with 14%+ base rates and a volatile macro environment. The aggressive growth (60% y/y credit production increase) into a deteriorating credit cycle is the single highest-risk element in the investment case.

Third, the Linx acquisition transforms the risk profile. The BRL 3 billion deal triples gross debt and converts TOTVS from a net cash compounder to a leveraged acquirer. The strategic rationale is sound -- consolidating Brazil's retail software market and gaining the Winthor product line -- but execution risk is real. Linx has already been through one ownership change (StoneCo, which paid BRL 6.7 billion and sold for less than half). TOTVS is acquiring a product that needs stabilization, not just integration. This is the most consequential capital allocation decision in the company's history and the primary near-term source of both upside and downside.

Fourth, AI is both threat and opportunity, and management has chosen the offensive position.

The LYNN platform, with BRL 600 million committed over four years, represents a genuine strategic bet on narrow AI (ANI) applied to SMB workflows. The early evidence is encouraging -- implementation hours halved, revenue per FTE up 11%, TaaS enabler revenue growing 72%. But the deeper question, raised by analysts and not fully answered, is whether AI agents that automate ERP tasks could cannibalize seat-based pricing. Management's answer -- that AI expands the addressable market by replacing human labor rather than software seats -- is plausible but unproven. This is the key strategic debate for the next 2-3 years.

Fifth, Brazil's tax reform creates a multi-year tailwind that is underappreciated by the market.

The CBS/IBS transition running from 2026 to 2033 will force every Brazilian company to simultaneously run two tax regimes. This is not a one-quarter bump -- it is a structural driver of ERP upgrades, compliance consulting, and system complexity that plays directly to TOTVS's strengths. The TOTVS Tax Intelligence product contributed BRL 20 million in ARR in its first quarter alone. No international competitor can credibly address this demand given the arcane specifics of Brazilian tax law.

Tensions and Contradictions

The most striking tension is between the Red Flags analysis and the Investment Checklist. The Red Flags agent correctly identifies that Linx leverage, Techfin credit risk, RD Station churn, and Dimensa's disposal collectively paint a picture of a company that may be stretching across too many fronts. Yet the Checklist agent grades TOTVS as a clear quality compounder passing 10 of 12 criteria. Both are right -- TOTVS is simultaneously a high-quality franchise *and* a company taking meaningful risks. The investment question is whether the franchise quality provides sufficient margin of safety to absorb the downside scenarios.

The Earnings Call Deep Dive reveals a CEO whose rhetoric has escalated from "cautious optimism" to "best in the world" over just four quarters. This confidence is backed by accelerating results, but the pace of narrative escalation -- from Mark Twain jokes about "death hoaxes" to claiming global AI

leadership for SMBs -- warrants monitoring. The CFO's more measured tone provides a useful counterweight.

What Primary Sources Revealed That Web Research Missed

The earnings call transcripts exposed several dynamics invisible from secondary sources. The systematic sell-side under-modeling (35% revenue miss from 2019 projections) explains why the stock has historically re-rated upward -- and suggests consensus may still be too conservative. Dennis's public naming of analysts who correctly adjusted for the RD Conversas reclassification reveals a management team that actively manages sell-side narratives, an unusual and telling behavior. The Dimensa exit was telegraphed across multiple quarters ("excellent business but no synergy") -- an investor reading transcripts would have anticipated the divestiture months before it was announced. Most importantly, the Q4 2025 reveal that implementation hours halved (from 1,000 to 500) provides the first concrete evidence that AI is already flowing through to operating margins, a data point absent from any web-based analysis.

Open Questions and Key Debates

1. **Can Techfin's credit quality hold through a Brazilian recession?** The 67% below-market default rate is compelling but untested in a severe downturn. Vintage-level delinquency data would resolve this.
2. **Will AI cannibalize or expand the revenue model?** Management's answer is expansion, but the pricing model transition from seats to outcomes/agents is a multi-year uncertainty.
3. **Is the Linx integration on track?** The first 12 months post-closing will be decisive -- watch customer retention metrics and cross-sell penetration in the retail vertical.
4. **What is RD Station's true standalone churn rate?** The blended 98.3% retention figure masks a weaker number. Separate disclosure would build investor confidence.

Overall Quality Assessment

TOTVS is a high-quality business by any reasonable standard. The combination of 91% recurring revenue, 98%+ retention, 20% ROIC, 98% FCF conversion, and a franchise distribution moat that has compounded value for four decades places it in rare company among emerging-market software businesses. The financial trajectory -- revenue doubling from BRL 2.6 billion to BRL 5.75 billion in five years while expanding margins and returns -- is exceptional. The key risk is not quality degradation but capital allocation aggression: the simultaneous pursuit of Linx integration, AI investment, and Techfin scaling represents the most ambitious multi-front expansion in the company's history, funded partly by leverage in a high-rate environment.

Recommended Next Steps

1. **Read the Investor Day 2025 full transcript** (Quartr docId: 2254932) for management's most comprehensive strategic framing, particularly the LYNN AI architecture and TAM expansion arguments.
2. **Monitor Q1 2026 results** (May 2026) for the first quarter reflecting full Linx consolidation -- customer retention and revenue run-rate will be the key metrics.
3. **Request vintage-level Techfin delinquency data** from IR to stress-test the credit quality thesis.
4. **Track RD Station's standalone retention metrics** quarterly to validate the "turned the corner"

narrative from Q4 2025.

5. Compare TOTVS's AI monetization progress against global ERP peers (SAP Joule, Oracle AI) to assess relative positioning.

Analysis compiled 31 March 2026. Sources include Quartr transcripts, financial data, and event summaries; web research; company filings via TOTVS IR (ri.totvs.com). Quartr company page: web.quartr.com/companies/5955.